

KW 8: Introduction & National Accounts

Chapters 1 & 2 + Lecture 1

Blanchard - Macroeconomics, 7th Global Edition

Study Notes

LECTURE 1 CONTEXT: INTRODUCTION TO MACROECONOMICS

Course Overview and Learning Objectives

Economics studies the allocation of scarce resources. While microeconomics examines allocation at the individual level (persons, firms), macroeconomics discusses this at the aggregated level.

- Learning objectives of this course:
 - > Introductory understanding of macroeconomics
 - > Economic models: benefits, applications, and limitations
 - > Analysis and contextualization of current economic policy problems
- Main goal: Ability to analyze current macroeconomic topics in a structured manner using suitable model frameworks

Importance of Macroeconomics for Managers

- A company's success depends critically on **external** factors
- Economic developments and economic policy decisions must be correctly interpreted by managers
- Example: In which countries should a company produce? In which markets will demand increase?

Course Structure

- 12 lectures (90 min) + 8 tutorials (90 min) + 3 self-study units
- Mock exam in the middle of the semester
- Thematic structure: short term -> medium term -> long term
- Perspective: demand-side -> supply-side

From Micro to Macro: The Linking of Markets

Economics distinguishes three levels of investigation:

- **Individual economic level:** Behavior of individual economic entities; above all households (maximization of utility) and companies (maximization of profits)
- **Level of interaction (markets):** Relations and cooperation between economic entities
- **Macroeconomic level:** Overall result of individual economic actions and the environment in which individual economic decisions are made
- Modern macroeconomics is microeconomically sound, i.e., it is based on decisions of individual households and enterprises

Example 1: Immigration to Switzerland and Wages

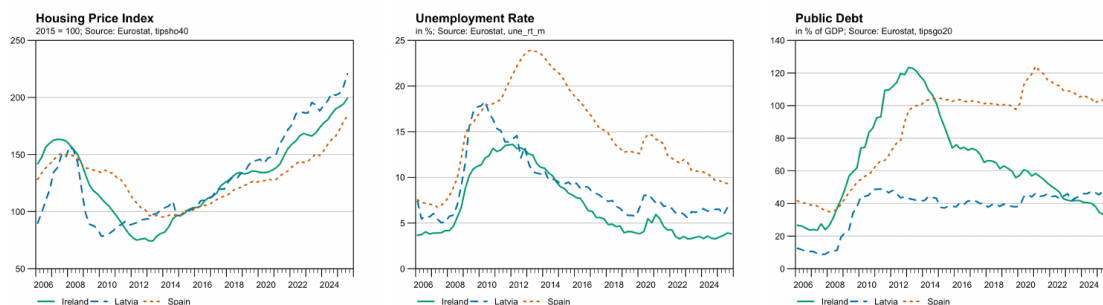
- Simple model with labor supply and demand: additional labor supply -> lower wages
- Advanced model: immigrants bring new ideas, companies invest more, structural change occurs
- From research: David Card (1990) 'Mariel boatlift' - natural experiment showing minimal wage effects from immigration

Example 2: European Real Estate Boom and Crash

- Ireland, Latvia, and Spain experienced interconnected crises:
 - > Housing prices doubled then crashed after 2008
 - > Unemployment surged (above 15% in all three countries)
 - > Public debt exploded as governments bailed out banks and funded stimulus
- Key question: What connects these three charts? -> The macroeconomic perspective

From Micro to Macro: Linking Markets — Examples

► Example 2: Real estate boom and crash in Europe:



► What connects these three charts?

Figure: European Real Estate Crisis - Housing Prices, Unemployment, and Public Debt (Ireland, Latvia, Spain)

(Macro-)Economic Markets

Several markets are of central importance at the macroeconomic level:

- **Goods market**
- **Financial market** (including money and capital market)
- **Labor market**
- We are interested in the **general equilibrium** on all markets, as well as the interdependence of markets
- Using suitable models, we want to analyze macroeconomic developments and possible political interventions

Central Economic Variables

A key learning objective is understanding the definition, determinants, and measurement of these variables:

- (1) **The total production and its growth rate** -> GDP
- (2) **The unemployment rate**
- (3) **The rate of inflation**

Long-Term Trend and Short-Term Fluctuations

Swiss real GDP (in billion CHF, source: SECO) shows a long-term trend of approximately 1.5% growth per year, with short-term fluctuations around this trend.

- What explains the short-term fluctuations and the return to the trend line?
- What explains the long-term path of GDP?
- These are the central questions of this course

Main goal: Long-term trend and short-term fluctuations

- What explains the short-term fluctuations, the return to the trend line, and the long-term path of GDP?

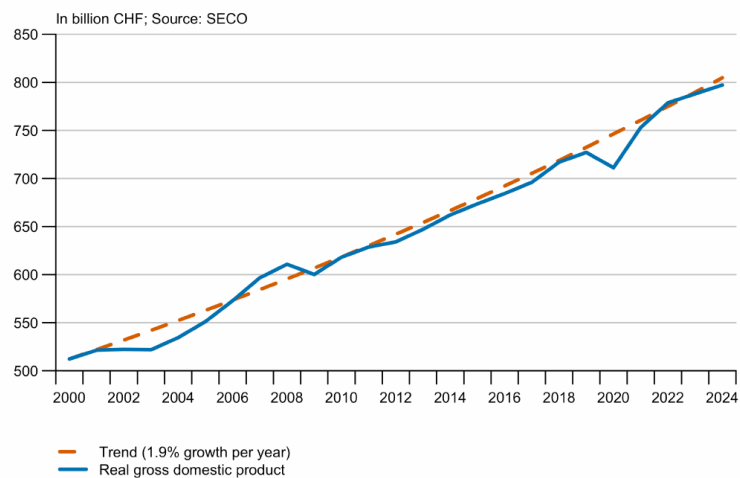


Figure: Swiss Real GDP (2000-2024) with 1.5% trend line (Source: SECO)

CHAPTER 1: A TOUR OF THE WORLD

1-1 The Crisis

Pre-Crisis Period (2000-2007)

- From 2000 to 2007, the world economy experienced a sustained expansion
- Annual average world output growth was 4.5%
- Advanced economies (~30 richest countries) grew at 2.7% per year
- Other economies (~150 countries) grew even faster at 6.6% per year

Origins of the Crisis (2007-2008)

- In 2007, signs emerged that the U.S. expansion was ending
- U.S. housing prices, which had doubled since 2000, started declining
- Two camps formed:
 - > **Optimists:** Lower housing prices would reduce construction and consumer spending, but the Fed could lower interest rates to stimulate demand and avoid recession
 - > **Pessimists:** The decrease in interest rates might not be enough; the U.S. might go through a short recession
- The pessimists turned out to be not pessimistic enough

How Housing Became a Financial Crisis

- Many mortgages given during the expansion were of poor quality
- Borrowers had taken too large loans and could not make monthly payments
- With declining housing prices, mortgage values often exceeded house prices, giving incentive to default
- Banks had bundled mortgages into new securities (securitization), sold them to other banks, repackaged into further new securities
- Banks held highly complex securities whose value was nearly impossible to assess
- Banks became reluctant to lend to each other, fearing counterparties might not be able to repay

Figure 1-1: Output Growth Rates

- Shows world output growth rates from 2000-2016
- Advanced economies experienced sharp decline in 2008-2009 (negative growth)
- Other economies slowed but maintained positive growth
- Recovery was slow and uneven across regions

The Crisis Unfolds (2008-2009)

- September 2008: Lehman Brothers went bankrupt - marked the worst phase of the crisis
- Most major banks were highly leveraged and at risk
- Stock markets crashed worldwide (U.S. stock index fell ~30%)
- U.S. output growth was -3.0% in 2009

- Advanced economies collectively contracted by -3.4% in 2009
- World trade collapsed, spreading the crisis to countries that had not experienced housing booms

Policy Response and Recovery

- Central banks cut interest rates to near zero
- Governments implemented fiscal stimulus (increased spending, reduced taxes)
- These measures prevented a repeat of the Great Depression
- Recovery has been slow - called the 'Great Recession'
- By 2010, positive growth returned but remained sluggish in advanced economies

1-2 The United States

The U.S. is the world's largest economy, accounting for about 22% of world output. Understanding U.S. macroeconomic performance is essential.

Key U.S. Macroeconomic Data (Table 1-1)

	2000-07	2008-10	2011-13	2014-16
Output growth %	2.7	-0.3	2.0	2.2
Unempl. rate %	5.0	7.5	8.3	5.3
Inflation rate %	2.5	1.6	1.8	1.1
Interest rate %	3.6	1.6	0.1	0.1

- Output growth averaged 2.7% from 2000-2007, dropped to -0.3% during 2008-10, recovered to about 2% since 2011
- Unemployment rate jumped from 5% pre-crisis to 7.5% during crisis, peaked at 10% in October 2009, slowly came down to around 5% by 2016
- Inflation remained low and stable (under 2.5%), even during the crisis
- The Fed cut the policy interest rate (federal funds rate) from about 3.6% to essentially 0% by 2009

Low Interest Rates and the Zero Lower Bound

- The federal funds rate reached 0% in late 2008 and stayed near zero until 2015
- This is the **zero lower bound (ZLB)** problem - interest rates cannot go below zero (or very slightly negative)
- At the ZLB, conventional monetary policy becomes ineffective
- The Fed turned to **unconventional monetary policy**: buying long-term bonds (quantitative easing/QE) to reduce long-term interest rates

How Worrisome Is Low Productivity Growth?

- U.S. productivity growth has slowed since mid-2000s
- Average annual productivity growth: 2.2% from 1996-2006, only 0.6% from 2006-2016
- This is a major concern because productivity growth is the main driver of long-run improvements in living standards
- Debate exists over whether this is temporary or a new normal:
 - > **Pessimists** (e.g., Robert Gordon): major innovations are behind us, growth will remain low
 - > **Optimists**: new technologies (AI, robotics) will eventually boost productivity; there is a lag between invention and productivity gains

1-3 The Euro Area

The euro area comprises the countries of the EU that have adopted the euro as their common currency. As of 2016, 19 countries, with a combined population of 340 million and combined output roughly equal to that of the United States.

Key Euro Area Macroeconomic Data (Table 1-2)

	2000-07	2008-10	2011-13	2014-16
Output growth %	2.2	-0.5	0.3	1.7
Unempl. rate %	8.4	8.9	10.8	10.8
Inflation rate %	2.2	1.5	1.8	0.4
Interest rate %	3.1	2.1	0.4	0.0

- Pre-crisis growth was lower than the U.S. (2.2% vs 2.7%)
- The crisis hit the Euro area harder and longer - growth was only 0.3% during 2011-2013
- The Euro area experienced a **double-dip recession** - second downturn in 2011-12
- Unemployment remained very high at 10.8% even during 2014-16
- The ECB (European Central Bank) also cut rates to near zero
- Inflation dropped to very low levels (0.4%), raising concerns about deflation

Can European Unemployment Be Reduced?

- European unemployment has been structurally higher than U.S. unemployment for decades
- Some argue this reflects rigid labor markets (strong worker protections, high minimum wages, generous unemployment benefits)
- Others point to insufficient demand (the demand-side explanation)
- Reality: both supply-side (structural) and demand-side factors play a role
- Different Euro area countries have very different unemployment rates:
 - > Germany: around 4% (well below the Euro average)
 - > Spain and Greece: above 20% during the crisis

What Has the Euro Done for Its Members?

- The euro was introduced in 1999 (notes and coins in 2002)
- **Benefits:** elimination of exchange rate uncertainty, lower transaction costs for trade, potentially lower interest rates for some countries
- **Costs:** loss of independent monetary policy - each country cannot set its own interest rate
- When a country-specific shock hits, it cannot devalue its currency or lower its own interest rate
- The crisis exposed tensions: countries like Greece, Ireland, Portugal, Spain faced sovereign debt crises
- Debate continues about whether the euro area is an **optimal currency area** - whether the benefits outweigh the costs of sharing a single monetary policy

1-4 China

China's rapid economic growth over the past 40 years has transformed it into one of the world's largest economies.

Key China Macroeconomic Data (Table 1-3)

	2000-07	2008-10	2011-13	2014-16
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Output growth %	10.5	9.9	8.2	6.8
Inflation rate %	1.7	3.0	3.1	1.7

- China's growth has been extraordinary: averaging 10.5% from 2000-07
- Growth has slowed from 10.5% to 6.8% - but this is still very high by world standards
- China's GDP in purchasing power parity (PPP) terms is now larger than the U.S.
- However, per capita income is still about 1/4 of U.S. levels (PPP-adjusted)
- At market exchange rates, China's GDP is about 60% of U.S. GDP

Key Issues for China

- **Rebalancing growth:** China's growth has been driven by investment (45% of GDP) and exports; needs to shift toward consumption
- **Shadow banking:** Large financial sector outside traditional banking, with less regulation and potentially risky lending
- **Exchange rate management:** China has maintained a partly managed exchange rate, keeping the yuan relatively weak to boost exports
- **Inequality:** Growing income inequality between urban and rural areas, and between coastal and inland regions
- **Environmental costs:** Rapid industrialization has caused severe pollution and environmental degradation

1-5 Looking Ahead

The book is organized around a core set of chapters that provide the fundamental framework for thinking about macroeconomics, with extensions that build on the core.

- The core covers: the goods market, financial markets, the IS-LM model, the labor market, the Phillips curve, and the IS-LM-PC model
- Extensions cover: expectations, the open economy, and policy
- Each extension enriches the basic model to address more realistic and complex questions

Appendix: Where to Find the Numbers

- Key data sources for macroeconomic statistics:
 - > **National sources:** Bureau of Economic Analysis (BEA) for U.S. GDP data, Bureau of Labor Statistics (BLS) for employment/inflation data
 - > **International organizations:** IMF (World Economic Outlook), OECD, World Bank
 - > **Central banks:** Federal Reserve (FRED database), ECB
- The FRED database (Federal Reserve Bank of St. Louis) is particularly useful: free, comprehensive, with easy-to-use graphing tools

CHAPTER 2: A TOUR OF THE BOOK

2-1 Aggregate Output

GDP is the single most important measure of the overall level of economic activity.

GDP: Production and Income

- There are three equivalent ways to think about GDP:
 - > (1) **From the production side:** GDP is the value of the final goods and services produced in the economy during a given period
 - > (2) **From the income side:** GDP is the sum of incomes in the economy during a given period
 - > (3) **From the expenditure side:** GDP is the value of final goods and services purchased during a given period

Key Definitions

Final vs. Intermediate Goods

Final goods: goods destined for final consumption.

Intermediate goods: used in the production of final goods.

GDP counts only final goods to avoid double-counting.

Value added by a firm = value of production - value of intermediate goods used.

- **GDP = sum of value added by all firms in the economy** (equivalently, the value of all final goods)
- Why production equals income: A firm's value added goes to pay workers (wages) or remains as profit to the firm. So the value added is distributed as income.
- Hence: **aggregate production = aggregate income**

Nominal and Real GDP

- **Nominal GDP** = sum of quantities of final goods x their current prices. Also called GDP in current dollars or GDP at current prices.
- Nominal GDP can increase either because production increases or because prices increase
- **Real GDP** = sum of quantities of final goods x constant prices (base year prices). Also called GDP in constant dollars, GDP adjusted for inflation, or GDP in terms of goods.
- Real GDP is constructed using a reference year's prices, so changes in real GDP reflect only changes in quantities, not prices

Nominal vs Real GDP - Example

Economy produces only cars:

Year 1: 10 cars at \$20,000 each -> Nominal GDP = \$200,000

Year 2: 12 cars at \$22,000 each -> Nominal GDP = \$264,000

Real GDP (Year 1 prices): Year 2 = $12 \times \$20,000 = \$240,000$

Nominal GDP growth: 32%. Real GDP growth: 20%.

- The Bureau of Economic Analysis (BEA) constructs real GDP using 2009 as the reference year
- U.S. real GDP in 2014: \$16.2 trillion (2009 dollars). Nominal GDP in 2014: \$17.3 trillion

- **GDP growth rate:** the rate of change of real GDP. Positive = expansion. Negative = recession.

GDP: Level versus Growth Rate

- Both the level and the growth rate of real GDP are important:
 - > **Level of real GDP** (relative to population): determines the standard of living
 - > **Growth rate of real GDP:** determines whether the standard of living is rising or falling
- An economy can have a high level of GDP but low growth (e.g., Japan), or a lower level but high growth (e.g., China)

Expansions and Recessions

Expansion: period of positive GDP growth.

Recession: period of negative GDP growth.

U.S. convention (NBER): A recession requires at least two consecutive quarters of negative GDP growth, plus a significant decline in activity.

2-2 The Unemployment Rate

Definitions

- **Employment (N):** the number of people who have a job
- **Unemployment (U):** the number of people who do not have a job but are looking for one
- **Labor force (L):** employment + unemployment:

$$L = N + U$$

- **Unemployment rate (u):** the ratio of unemployed to the labor force:

$$u = \frac{U}{L}$$

- **Out of the labor force:** people who are neither employed nor looking for work (e.g., retirees, students, discouraged workers)
- **Participation rate:** the ratio of the labor force to the total working-age population

Why Do Economists Care about Unemployment?

- Unemployment represents wasted productive resources - people who want to work but cannot find a job
- It directly affects the welfare of the unemployed: loss of income, psychological distress
- It signals the overall state of the economy: high unemployment = weak economy
- A very low unemployment rate can also be a concern - it may signal an overheating economy and rising inflation

Okun's Law

There is a reliable negative relationship between GDP growth and changes in the unemployment rate:

High output growth -> decreasing unemployment

Low/negative output growth -> increasing unemployment

2-3 The Inflation Rate

The GDP Deflator

- **Inflation**: a sustained rise in the general level of prices (the price level)
- **Inflation rate**: the rate at which the price level increases
- **Deflation**: a sustained decline in the price level (negative inflation)
- The **GDP deflator** is defined as:

$$\text{GDP Deflator} = \frac{\text{Nominal GDP}}{\text{Real GDP}}$$

- It is an index number: equal to 1 (or 100) in the base year
- The GDP deflator gives the average price of output - the final goods produced in the economy

The Consumer Price Index (CPI)

- The **CPI** measures the cost of living - the cost of a given basket of consumer goods
- The GDP deflator and CPI generally move together but can differ because:
 - > The GDP deflator covers all goods produced domestically; the CPI covers goods consumed (including imports)
 - > The GDP deflator uses changing weights; the CPI uses a fixed basket

Why Do Economists Care about Inflation?

- If all prices and wages rose proportionally, inflation would be irrelevant
- In reality, inflation matters because:
 - > Not all prices and wages rise proportionally - inflation changes relative prices and redistributes income
 - > Inflation creates uncertainty about future prices, making planning harder
 - > Inflation interacts with the tax system (e.g., capital gains taxes on nominal gains)
- **Very high inflation** (hyperinflation) is extremely disruptive to the economy
- **Deflation** is also problematic: increases the real burden of debt, and interacts with the zero lower bound on interest rates

2-4 Output, Unemployment, and the Inflation Rate: Okun's Law and the Phillips Curve

Okun's Law

- **Okun's Law**: Above-average output growth leads to a decrease in the unemployment rate; below-average growth leads to an increase
- Quantitative relationship (for the U.S.): A 1 percentage point increase in GDP growth above normal leads to about a 0.4 percentage point decrease in unemployment
- This means that to significantly reduce unemployment, you need sustained above-average GDP growth
- Figure 2-3 plots changes in unemployment vs. GDP growth for the U.S. (1960-2014) - the negative relationship is clear

The Phillips Curve

- **The Phillips Curve:** a relationship between unemployment and inflation
- When unemployment is **below** a certain level (the natural rate), inflation tends to **increase**
- When unemployment is **above** the natural rate, inflation tends to **decrease**
- The 'natural rate of unemployment' is the unemployment rate at which inflation remains stable
- This creates a policy trade-off: reducing unemployment below the natural rate causes inflation to rise
- Figure 2-4 plots changes in inflation vs. unemployment for the U.S. - the negative relationship is visible

2-5 The Short Run, the Medium Run, and the Long Run

Macroeconomists think about economic fluctuations at three time horizons:

The Short Run (Year to Year)

- Focus on movements in output, unemployment, and inflation from year to year
- Key assumption: prices are sticky (slow to adjust)
- Demand plays a central role: changes in demand lead to changes in output
- Monetary and fiscal policy have powerful effects on output
- Models used: IS-LM framework (Chapters 3-6)

The Medium Run (About a Decade)

- Over the medium run, the economy tends to return to a 'normal' level of output
- Prices adjust, and the economy returns to the natural rate of unemployment
- Key factors: labor market institutions, technology, demographics
- Models used: IS-LM-PC model (Chapters 7-9)

The Long Run (Decades to Centuries)

- Focus on what determines the growth of output over long periods
- Key factors: capital accumulation, technological progress, education
- Models used: Growth models (Chapters 10-13)

2-6 A Tour of the Book

The book is organized in four main parts:

The Core (Chapters 3-9)

- Chapters 3-6: The short run (goods market, financial markets, IS-LM model)
- Chapters 7-9: The medium run (labor market, Phillips curve, IS-LM-PC model)

Extensions

- Chapters 14-16: Expectations and their role in the economy
- Chapters 17-20: The open economy (trade, exchange rates)

Back to Policy (Chapters 21-24)

- Chapters 21-23: Fiscal and monetary policy analysis

- Chapter 24: Epilogue - the history of macroeconomics

Appendix: The Construction of Real GDP and Chain-Type Indexes

- Real GDP is constructed using **chain-type indexes** (Fisher index)
- Rather than using a fixed base year, chain-type indexes compute growth rates using prices from adjacent years and then chain them together
- This avoids the problem that a fixed base year becomes increasingly unrepresentative over time
- The BEA uses 2009 as the reference year (where real GDP = nominal GDP)
- For any other year, the growth rate of real GDP is computed by averaging growth rates calculated using prices from two consecutive years

NATIONAL ACCOUNTS: LECTURE PERSPECTIVES

The Gross Domestic Product (Lecture Framing)

- Since the mid-20th century, GDP has been the most commonly used measure of economic performance
- **Nominal GDP** measures the value of all final goods and services, expressed in current prices, produced in a country during a given period
 - > Geographic focus, flow size, value added (no double counting)
- **Real GDP** uses constant prices (base year), i.e., it corrects for inflation
- If the (seasonally adjusted) real GDP falls for two consecutive quarters, economists speak of a **recession**

Nominal vs Real (Lecture Emphasis)

Separation of real and nominal quantities:

- **Nominal values** are expressed in monetary units -> nominal wages, nominal interest rates
- **Real values** are measured in physical goods (purchasing power) -> relative prices, real wages, real interest rates
- Increase of the nominal GDP: production increases AND/OR prices increase

Economic Cycle as a Framework for Macroeconomics

The simple economic cycle: Households are suppliers of production factors and buyers of goods. They own factors of production that are traded on the financial market and labor market.

- **Circular flow** links three markets: Goods Markets, Firms, Factor Markets, Households
- Three equivalent measures of GDP in the circular flow:
 - > Sales revenue (firms) = GDP (production approach)
 - > Expenditure (households) = GDP (expenditure approach)
 - > Factor compensation / Income = GDP (income approach)

Economic cycle as a framework for macroeconomics

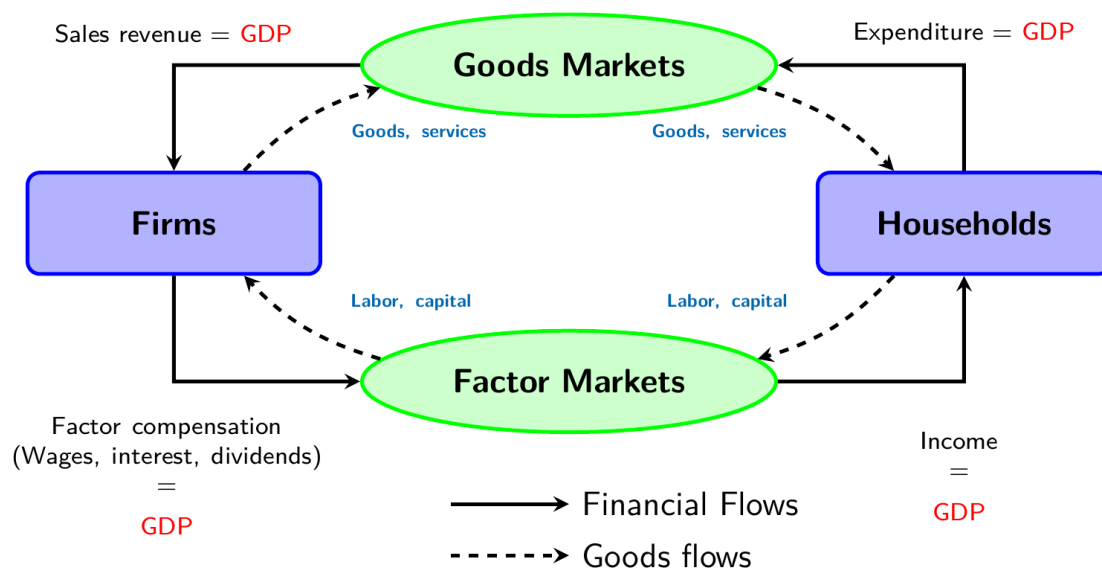


Figure: The Circular Flow - Goods Markets, Firms, Factor Markets, and Households

The Three Types of GDP Measurement

- **Production approach:** GDP equals the value of final goods and services produced in the economy during a given period
- **Income approach:** GDP is the sum of all payments to factors of production (labor, capital, land) in a given period
- **Expenditure approach:** GDP is the sum of all spending on final goods produced within a country for private or public consumption, investment, or net exports

Example (production approach, value added):

- Aluminum factory: sales revenue = 100, wages = 80, profit = 20
- Car manufacturer: sales revenue = 210, intermediate consumption (aluminum) = 100, wages = 70, profit = 40
- Total value added = 20 + (210 - 100) = 130 = total wages + total profits = 150 + (-20)... -> all three approaches yield the same GDP

Total Demand and Total Supply

Total supply and total demand in an open economy:

- Total supply: domestic production (Y) + imports (M)
- Total demand (Z): household consumption (C) + private sector investment (I) + government expenditure (G) + exports (X)

$$Y + M = Z = C + I + G + X$$

Rearranging:

$$Y = C + I + G + (X - M)$$

- For the economy in the **short run**, demand is decisive, which is why we examine this equation in detail (-> Lecture 2)

Swiss GDP Data 2024

How large were Y, C, I, G, X, M in Switzerland in 2024? (Data at current prices, trade incl. gold; Source: Federal Statistical Office)

Component	Symbol	bn CHF
Private consumption	C	421
Private investment	I	228
Government consumption	G	102
Exports	X	608
Imports	M	505
GDP	Y	854

Value Added by Economic Sector (Switzerland)

Gross value added (GVA) by sector, nominal share in %, seasonally adjusted (Source: SECO):

- **Primary sector** (agricultural): ~1% of GVA
- **Secondary sector** (industry): ~27% of GVA
- **Tertiary sector** (services): ~73% of GVA
- These shares have been remarkably stable since 1990

GDP as a Welfare Measure (Lecture Discussion)

GDP measures overall economic performance. But is it also a useful measure of well-being (welfare)?

Limitations of GDP

- Unpaid, non-market-based work (housework, bringing up children) is NOT captured
- Black market and illegal activities are only partly included
- Quality improvements are often hard to capture
- New forms of economic activity are often captured with a delay
- Free access to unprecedented amount of information due to new technologies is not captured (Hulten & Nakamura, NBER 2021)

Advantages of GDP

- Comparability over time and between countries
- Cannot be corrupted by politics (corrective by international institutions)
- Relatively easy to measure, clear international standards

The Myth of the Broken Window

- With fully utilized capacities: destruction does NOT increase GDP

- With underutilized capacities: GDP increases but NOT net national income

GDP Per Capita vs GDP Per Hour Worked

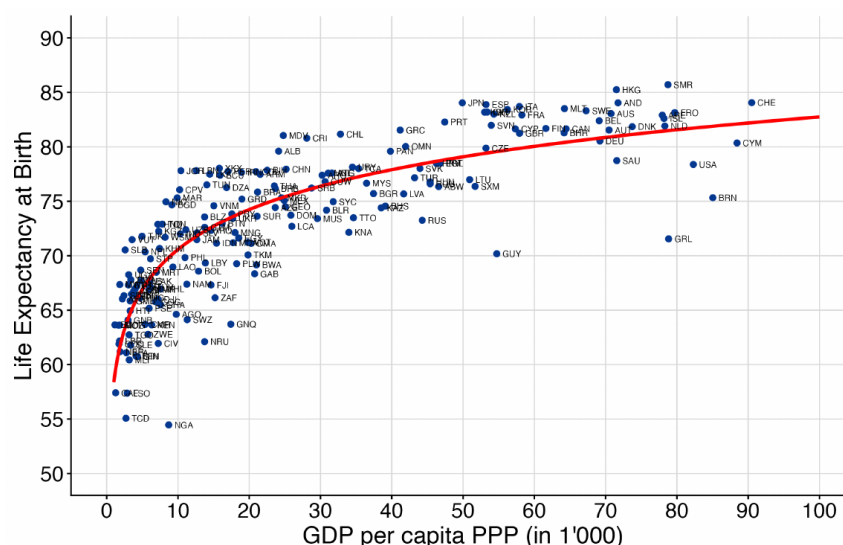
- Is maximization of GDP per capita the goal at all?
- Germany has a higher per capita income than France, but GDP per hour worked is almost identical
- Real GDP is theoretically grounded as a welfare measure

GDP and Complementary Indicators

- High correlation between GDP per capita and complementary indicators: median income, Human Development Index (HDI)
- GDP per capita vs life expectancy: strong positive relationship, but diminishing returns at higher income levels
- GDP per capita vs HDI: strong positive relationship, concave shape

GDP as a Welfare Measure (continued)

- GDP per capita and life expectancy:



Source: World Bank, NY.GDP.PCAP.PP.CD and SP.DYN.LE00.IN, data for 2023

Figure: GDP Per Capita vs. Life Expectancy - Strong positive relationship with diminishing returns

Excursion: GDP Measurement from Space

- No GDP data available for many poorer countries; at regional level, reliable data often hardly exist
- New approach since 2012: **satellite data on nighttime light intensity**
- Example: North Korea vs South Korea - dramatic difference in light intensity reflects economic disparity
- Source: Jiaxiong Yao, Illuminating Economic Growth, IMF F&D, September 2019

GDP Per Capita: International Comparison (2024)

GDP per capita in 1000 USD PPP (Source: World Bank, 2024 data):

- Uganda: 3.3 | China: 27.1 | Russia: 47.4 | Japan: 51.7 | Italy: 60.9 | France: 61.3 | Austria: 71.6 | Germany: 72.3 | USA: 85.8 | Switzerland: 94.1

- World average: approximately 27 (shown by red dashed line)

Main goal of the course “Economics B - Macroeconomics I”

- ▶ Ability to analyze current macroeconomic topics in a structured manner.
- ▶ Use and critically examine suitable model frameworks.
- ▶ Example: How to interpret these numbers?

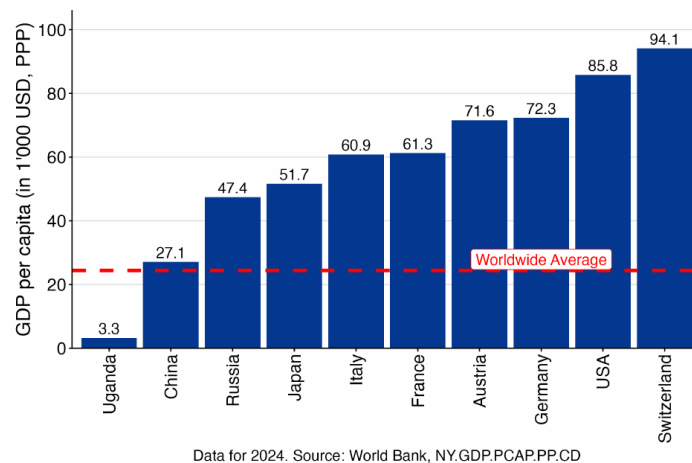


Figure: GDP Per Capita in 1000 USD PPP (Source: World Bank, 2024) - World average shown by red dashed line